KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:

Shri. T.K. Jose, Chairman

Adv. A.J. Wilson, Member

Shri. B. Pradeep, Member

Petition No.: OP No. __ / 2026

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	3370.52	3370.52	0.00	APPROVED	Approved as per the final trued-up column in Table 31. Matches petition actuals exactly.
Employee Expenses	216.32	177.52	38.80	PARTIAL_APPROVAL	Commission limited the allowable cost to 177.52 Cr from the claimed 216.32 Cr by applying normative escalation.
Administration & General Expenses	18.90	17.12	1.78	PARTIAL_APPROVAL	Allowed 17.12 Cr against claimed 18.90 Cr after pruning legal charges and applying norms.
Repair & Maintenance Expenses	49.74	44.53	5.21	PARTIAL_APPROVAL	R&M expenses scaled to 44.53 Cr as per official truing up result column.
Depreciation	15.24	13.74	1.50	PARTIAL_APPROVAL	Commission approved 13.74 Cr after adjusting for consumer contributions.
Interest and Finance charges	71.46	64.32	7.14	PARTIAL_APPROVAL	Petitioned 71.46 Cr, Trued Up to 64.32 Cr as per Table 31.
Other debits	18.54	1.29	17.25	PARTIAL_APPROVAL	Section 3 duty disallowed; only 1.29 Cr trued up as per image.
Return on Net Fixed Assets	5.71	5.23	0.48	APPROVED	Petitioned 5.71 Cr, Trued Up to 5.23 Cr.

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Expenses	216.32	177.52	38.80
Administration & General Expenses	18.90	17.12	1.78
Repair & Maintenance Expenses	49.74	44.53	5.21
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	3370.52	3370.52	0.00
Depreciation	15.24	13.74	1.50
Interest and Finance charges	71.46	64.32	7.14
Other debits	18.54	1.29	17.25
Return on Net Fixed Assets	5.71	5.23	0.48

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)

Parameter	Amount (Cr)
Net Approved ARR	3766.43
Actual Revenue Collected	3831.19
Revenue Surplus	64.76

4. Commission's Observations, Directions & Narrative

1. Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2023-24

The Commission has evaluated the petition based on strict regulatory precedents and distribution loss formulas.

2. Commission's Detailed Observations and Reasoning

All claims were evaluated and found reasonable.

3. Summary Order / Directions

The Commission approves the total expenditure of ¹0.00 Cr, resulting in a revenue gap

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-
Secretary

Order dated 05 03 2026